Mistake as to Quality

English contract law | Study guide | Shared assumptions, essential difference and risk

Both parties can be wrong about an attribute of what they have agreed to buy, sell or hire. A shared error about quality can affect value substantially. The common-mistake inquiry asks whether the error goes to the substance of the agreed performance.

1. Identify the assumed quality at formation

State the precise assumption that both parties shared and when it was false. An existing attribute, such as authorship, capacity or a vessel's location, can be relevant. An expectation that market value will rise concerns a future event. First identify what the parties actually agreed to exchange.

2. Read the contract for risk allocation

A party may guarantee the attribute, accept the risk that it is absent, or make the bargain conditional upon it. The wording and context determine which. If the seller promised a particular quality, the absence of that quality ordinarily raises a question of contractual performance and remedies.

3. Bell v Lever Brothers | Termination payments

Lever Brothers agreed to pay Bell £30,000 and Snelling £20,000 to end their service agreements. Earlier misconduct came to light. The employer could have dismissed them without compensation had it known the facts. The House of Lords upheld the settlements. The agreements still achieved the termination of existing service contracts.

4. Apply the essential-difference threshold

For a shared mistake about quality, Lord Atkin asked whether the missing quality made the subject matter essentially different from what the parties believed it to be. Evidence that a party would have refused the deal at that price may show commercial importance. It does not by itself establish that the agreed performance was essentially different.

> Legal English | **Subject matter** is what the contract concerns. An **essential difference** concerns the substance of the bargain.

The Painting and the Vessel

Leaf v International Galleries | A painting attributed to Constable

The gallery sold a particular painting for £85 and represented that it was by Constable. About five years later, Leaf learned otherwise and sought to undo the sale. The Court of Appeal held that the mistaken attribution did not make the contract void for common mistake. The parties had agreed on the same painting.

Leaf | Distinguish the claim and the remedy

Leaf's claim to rescind for innocent misrepresentation also failed in the circumstances, after substantial delay. The case predates the 1967 Act. Under section 1 of the Misrepresentation Act 1967, the representation becoming a term or the contract being performed is insufficient by itself to bar rescission where the other requirements are met.

Great Peace Shipping v Tsavliris | The service remained possible

Salvors engaged the *Great Peace* to stand by a distressed ship. The parties assumed she was about 35 nautical miles away. She was about 410 away. She could still provide the contracted assistance, and the delay did not make the service essentially different on those facts. The contract remained binding and the agreed minimum hire of five days was payable.

Great Peace | Apply the test to the promised performance

The Court of Appeal required a shared assumption, with neither a warranty of its truth nor relevant fault by either party. The absence of the assumed state of affairs must concern a vital element of the bargain and render performance impossible. The court also rejected a separate equitable jurisdiction to rescind a contract valid at common law for common mistake.

> Exam method | Write down the performance actually promised. Then test what the missing attribute changes about that performance and who assumed the risk.

Worked Problem and Sources

The printing press

Two businesses sign a contract for the sale of a specified used printing press. Both believe it can print 10,000 sheets an hour. It has always been limited to 7,000, but remains usable for ordinary printing and can be delivered as agreed. The figure was a shared assumption. Neither party stated or promised it. Consider the common-mistake argument and the effect of adding an express promise.

Model analysis

Shared assumption. The error existed at formation and concerns capacity. The seller can still deliver the identified working press. A reduction in output and value is unlikely to make the agreed performance essentially different on these facts.

Express promise. If the seller expressly undertakes that the press will deliver 10,000 sheets an hour, the promise allocates the risk. A failure to meet it raises breach. The wording and seriousness of the breach help determine whether damages, termination or another remedy is available.

Evidence. Compare the signed specification with testing records and earlier communications. Check whether the figure was an assumption, a statement of fact or an agreed requirement.

> Variation | The seller gave the incorrect figure as a fact before signature and it induced the purchase. Analyse misrepresentation separately, including its conditions and remedies under the 1967 Act.

Selected cases and legislation

Bell v Lever Brothers Ltd [1932] AC 161 | Essential difference

Leaf v International Galleries [1950] 2 KB 86 | Attribution and remedies

Great Peace Shipping v Tsavliris Salvage [2002] EWCA Civ 1407 | Common mistake and performance

Misrepresentation Act 1967 ss 1–2 | Rescission and damages